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3 years of PMax

The State of PMax 2025 report

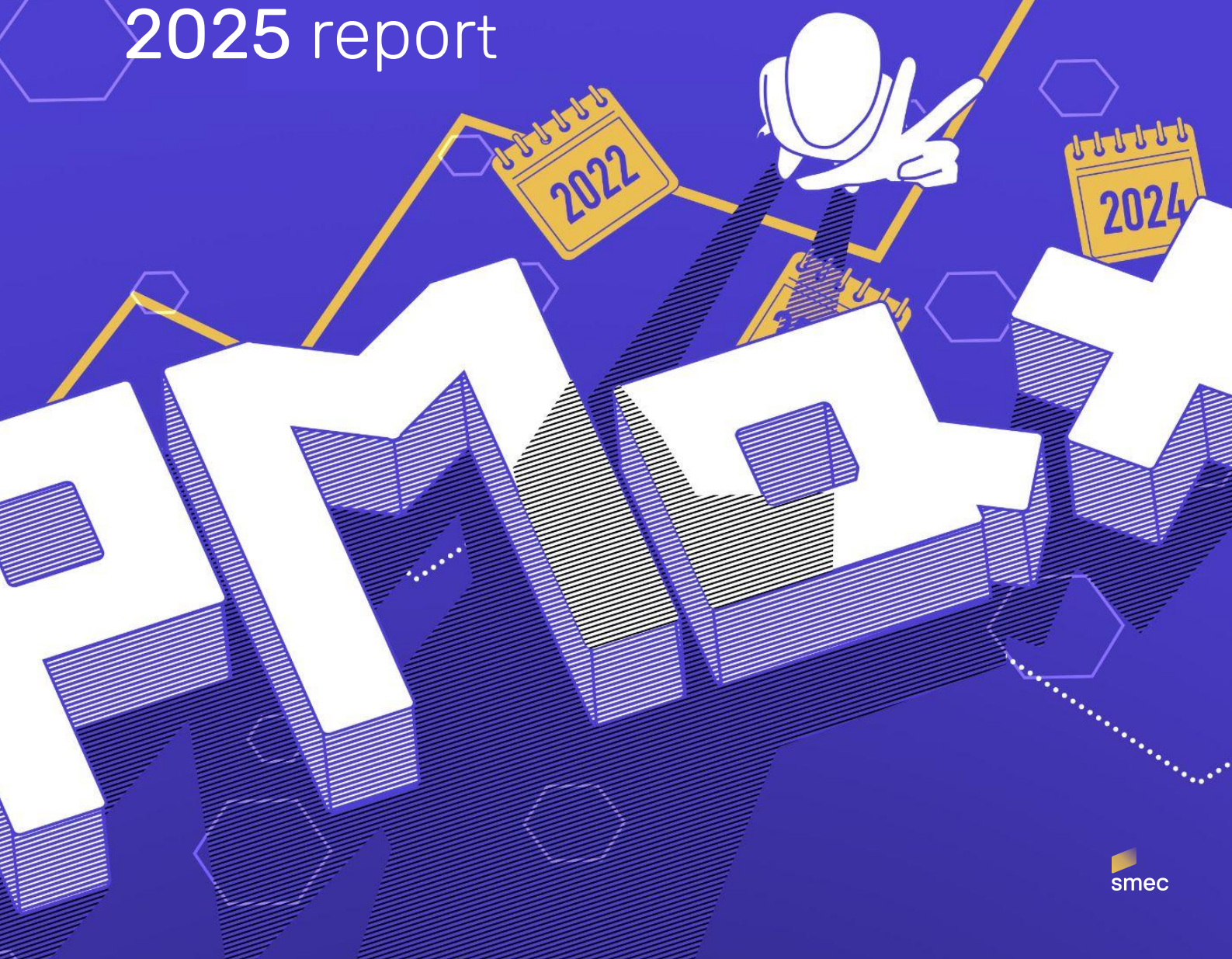
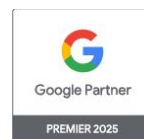


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Is it really three long years already?

Believe it or not, it has been three years since Google started the wide-scale rollout of Performance Max (PMax) campaigns. Time flies when you're having fun maxing performance.

When PMax first premiered, it was **described as a black box** – par for the course with new Google tech – but also, **more concerningly**, as “an experiment funded by advertisers.” Stinging criticism, and **actually quite fair**.

However, three years on, **PMax has become a mature campaign type**. Google has **added a wide array** of reporting and control options, including some that feel like **genuine concessions toward advertisers**.

To better understand how things have evolved, I've analyzed **over 4,000 PMax retail campaigns** across over 500 advertiser accounts. Not only will I present you my findings, but also **share the opinions** of several top advertising and ecommerce experts.

This report aims to be **neither a hitpiece nor a whitewash**. My simple goal is to share analyses that will help you understand PMax better today than you did yesterday.

Mike Ryan

Head of ecommerce
insights



Adoption: has PMax peaked?

Performance Max reached an impressive market share over the past three years. Question is: Has it plateaued?

Key findings:

Almost overnight, PMax had a large – arguably **unearned** – market share.

PMax cost share peaked in May 2024 at just shy of 82%!

It has lost an average of .65% cost share per month, in total nearly

–6%

since its peak.

Cost Share per Campaign Type



Are PMax's best days over?

I asked my longtime Google Shopping friend **Kirk Williams** for his take on Performance Max's dip in adoption rates.

“Has PMax **jumped the shark?** IMO, it has. We've never seen PMax perform consistently worse than it has moving into 2025, with **little to no strategy shifts** on our end.

We have begun transitioning to Search / Standard Shopping more purposefully with obvious revenue and efficiency increase. We went from PMax being the major strategy for our Ecom clients, to a decreasingly important one.

This was **not due to a philosophy shift** but simply following the numbers.”



I think Kirk's dissatisfaction is felt by many – and nothing shows this better than the movement of costs **shown on the previous page.**

However, while it's rare for me to disagree with Kirk, I for one am cautiously optimistic about the future of PMax, largely thanks to **Google's recent and upcoming feature releases.**

The case for Performance Max

Google has been working hard to meet advertisers in the middle on PMax features. Concessions that were unimaginable in 2022 are becoming a reality now.

SETTINGS

	Standard Shopping	Smart Shopping	Performance Max
Location modifiers	✓	✗	🔄
Device modifiers	✓	✗	🔄
Campaign priorities	✓	✗	✗
Remarketing lists	✓	✗	✗
Negative Keyword Lists	✓	✗	✓
Ad schedule	✓	🔄	✓

REPORTING

	Standard Shopping	Smart Shopping	Performance Max
Placement	✓	✗	🔄
Audience	✓	✗	🔄
Search terms	✓	✗	✓
Channel performance	✓	🔄	✓

To demonstrate that, I'd like to **compare the features** between Standard Shopping, Smart Shopping, and Performance Max.

I hope this table reminds you just **how poor the features were for Smart Shopping**, and how far we've come with Performance Max. I'm not saying it's a perfect technology. Given the chance, I'd **build it differently**.

However, **Google is listening** and seems determined to ship features that will drive adoption.



Feature available



Partially available / available soon



Not available

Does PMax actually work?

Advertisers have been increasingly demanding of PMax, and, broadly speaking, PMax has delivered.

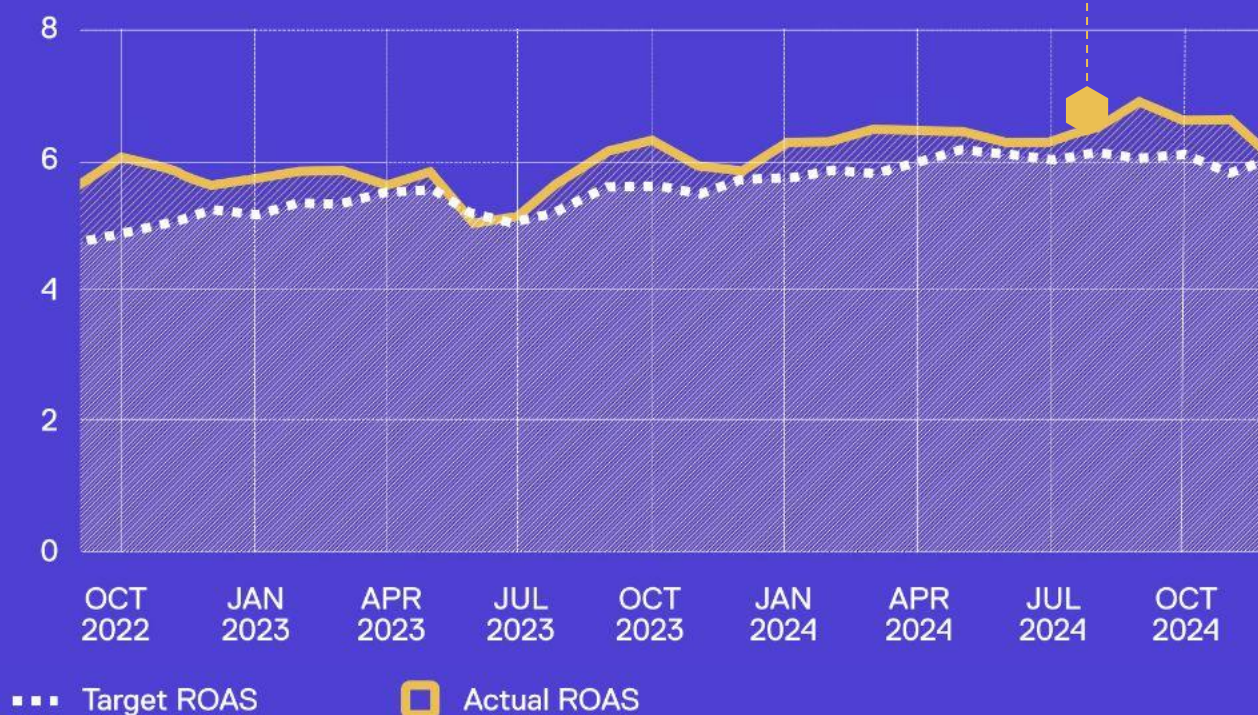
The median campaign ROAS target has increased from about 4.7 to about:

6.0

PMax typically achieves 95% to 116% of the target, although with plenty of exceptions.

By the numbers, PMax works, but in-platform data always needs to be verified against back-end outcomes.

Median ROAS vs. Median ROAS target



Like it or not, Google gets a lot of things right.

I asked Greg Finn,
Head of Performance &
Innovation at Cypress North
and co-host of the
Marketing O'Clock podcast
where he stands on PMax.



"Google gets a lot of credit here with PMax. The product had many, many flaws on launch, but the team has addressed many of the major issues and turned Performance Max into a **tool that most marketers can use.**

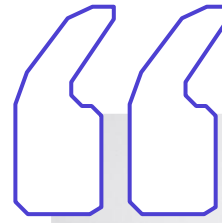
Conversion quality should be a focus if using it for Lead Gen, and the Brand Exclusions and the addition of negative keywords can now help you cut off PMax's reliance on brand spend to find success."

Back in 2022 I wrote:

“More insights and options will come, but these will be on Google’s terms.”

Yet these features are increasingly on advertisers’ terms.

I just have one... well... **conspiracy theory**: What if Google is increasing PMax's feature parity with Standard Shopping in order to justify deprecating Standard Shopping?



Is PMax just Standard Shopping in disguise?

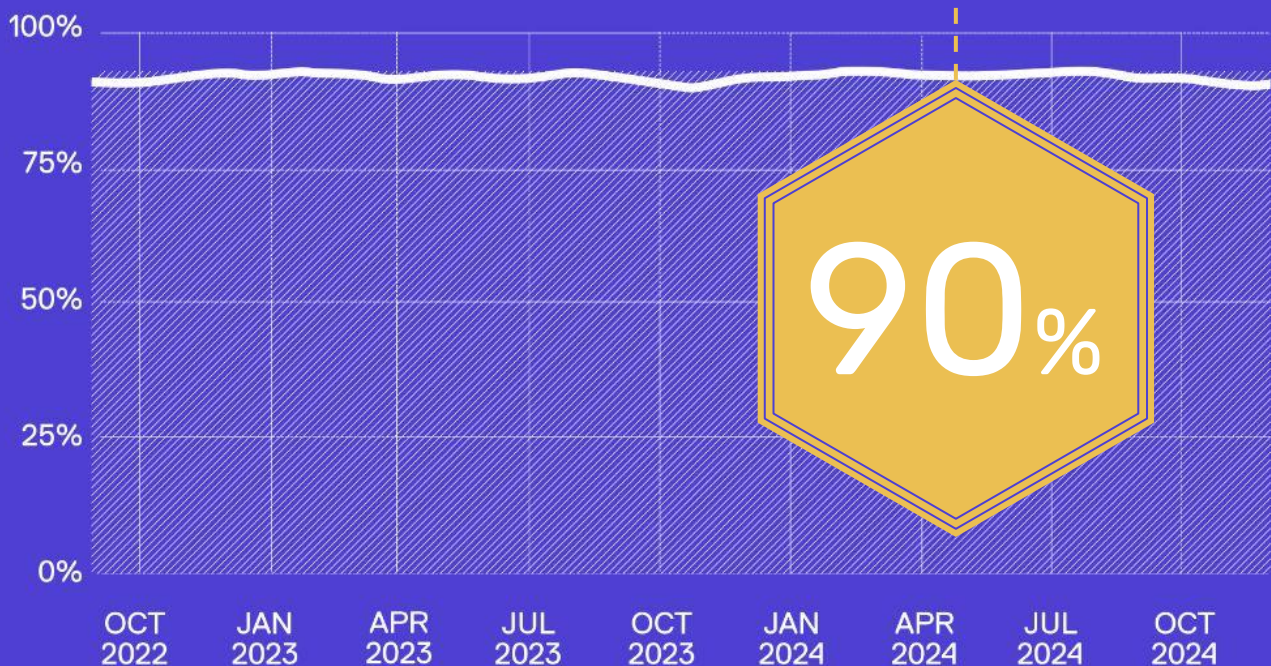
Is Performance Max a Shopping Campaign glow-up... or a wolf in sheep's clothing?

Typically **between 74% and 97%** of PMax costs come from **feed-based ads**.

The **median value of 90%** has been stable, suggesting Google isn't tweaking this mix.

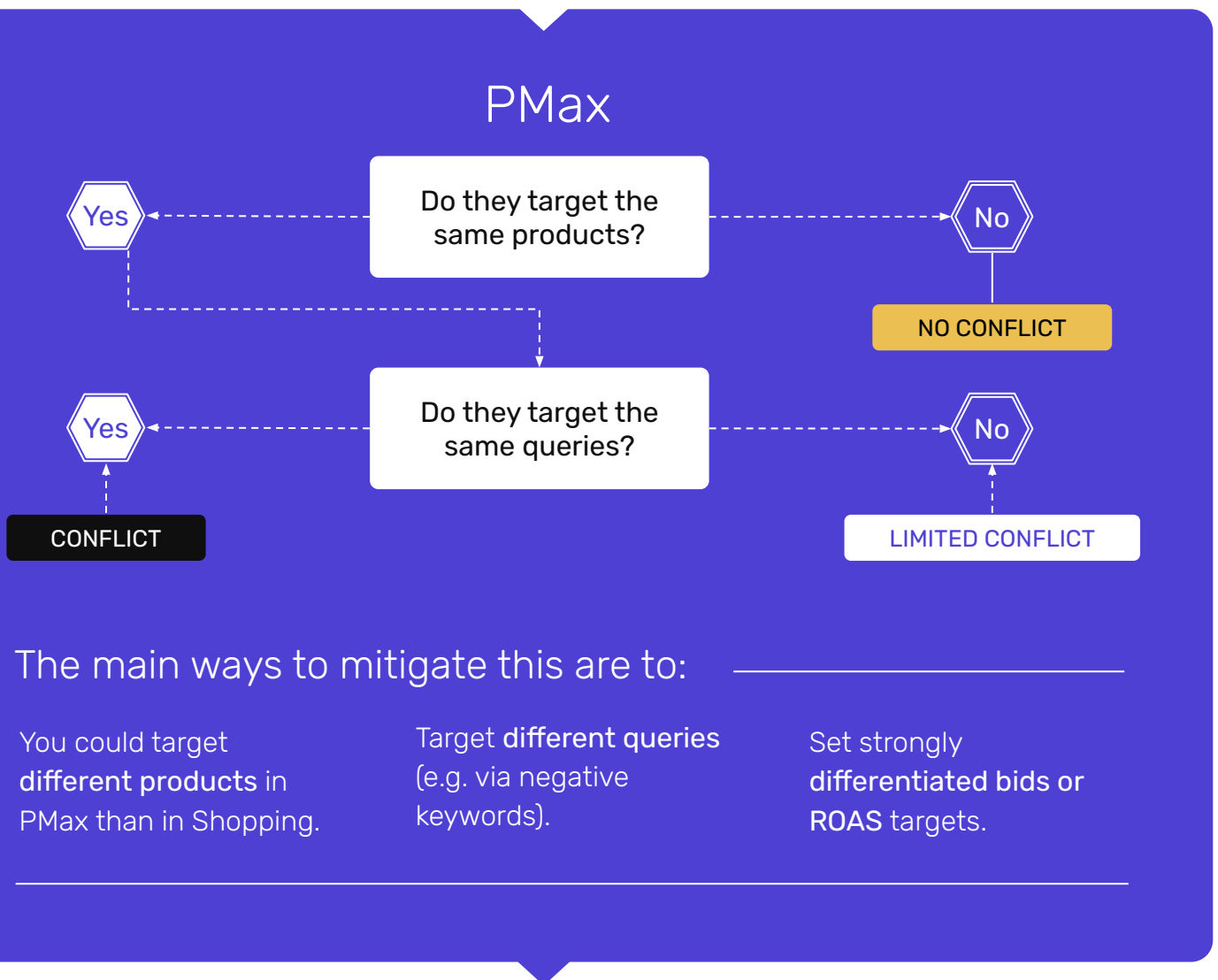
Contrary to popular belief, **even asset-based ads in PMax are bottom-funnel**.

Median feed-based cost share of Performance Max



The interplay of PMax and Standard Shopping

When and why are PMax and Shopping campaigns clashing?
And what can you do about it?



Whether served by PMax or Standard Shopping, Shopping Ads are **built with identical assets (the Product Feed)**. So Ad relevance is handled by Google **matching products with search terms**.



In other words:

PMax and Shopping **do self-compete** when advertising **the same products**. Potentially resulting in **bid escalation**.

The interplay of PMAx and Demand Gen

PMAx and Demand Gen serve very similar keywordless inventory. The interplay here is murkier than with Shopping.

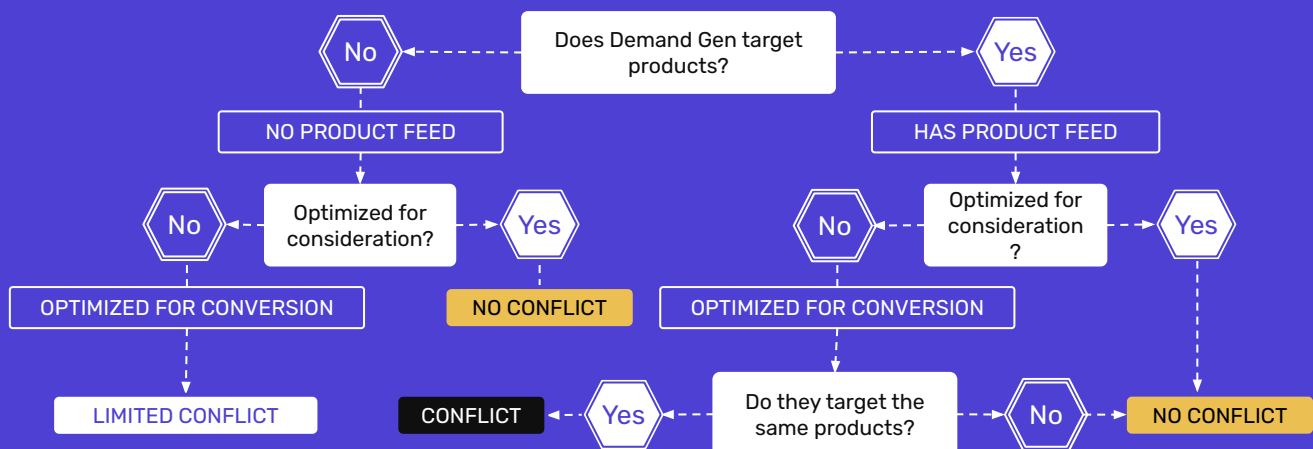
	Search	Shopping	YouTube	Display	Discover	Gmail	Maps
Performance Max	✓	✓	✓	✓	✓	✓	✓
Demand gen	✗	✓	✓	✓	✓	✗	✗

PMAx is always **bottom- funnel and conversion- oriented**. While Demand Gen can be mid-funnel **OR** bottom-funnel.

The conflict mainly revolves around the **less standardized asset-based portion** of PMAx, where it typically spends a lot less money.

So when Demand Gen is optimized for conversions, PMAx is **more than likely stifling** Demand Gen campaigns, but probably at **no runaway costs**.

Demand Gen



“Strategically, PMax and Demand Gen don’t overlap”

Thomas Eccel, Head of Google Ads at Jung von Matt IMPACT, leaves us with room for optimism that Demand Gen and PMax will become more differentiated over time:



“While PMax is built to **capture & convert existing demand** next to Search campaigns, Demand Gen is designed to **create new demand** through emotional creatives and audience intent.

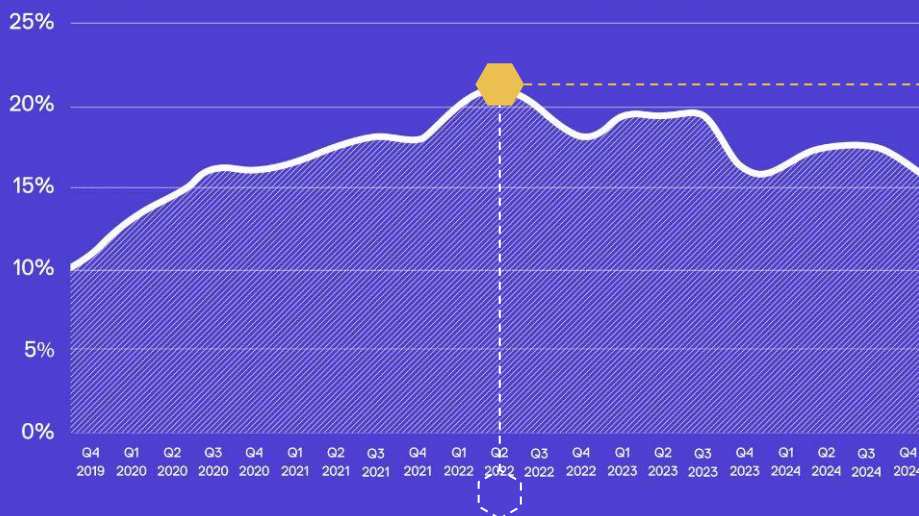
I think that they share inventory and **might overlap** (especially DG campaigns that have been set up on warm audiences with tCPA or tROAS leaning towards the lower funnel), however, their purpose is different and they **don't overlap in strategy** or function.

With the **latest Display Network addition** for DG, I think Google is drawing a clearer line between mid-high funnel territory of DG and mid-lower funnel territory for PMax to slowly **eliminate potential overlaps**.”

PMax's impact on Dynamic Search Ads

PMax's roll out has sent Dynamic Search Ads (DSA) into a clear state of decline.

Dynamic Search spend as a percentage of total Search spend



Dynamic Search Ads spend peaked at

21%

in Q2 2022, coinciding with the scaled rollout of PMax.

DSA's growth trajectory was broken and subsequently lost 5% cost share.

In August 2023 Google introduced a "voluntary upgrade" of DSA to PMax.

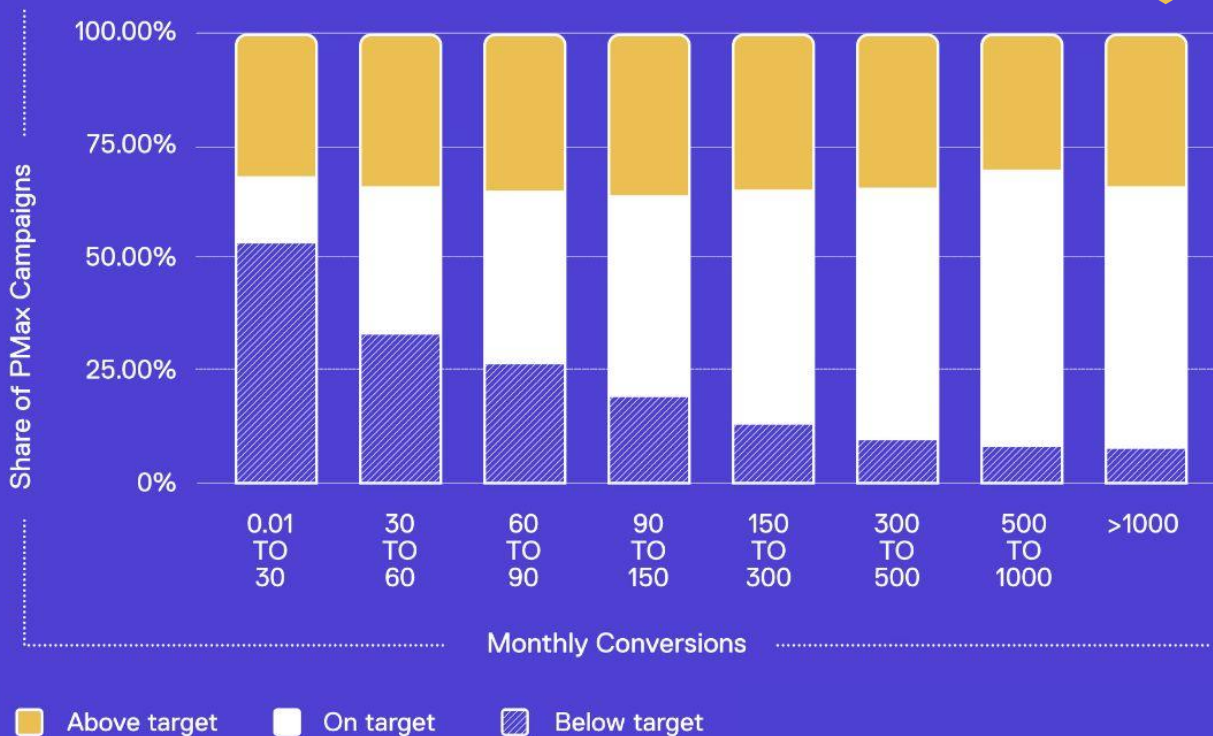
The technology is likely to be deprecated in favor of PMax and Search Max.

How many conversions does PMax need to work?

Here is a highly aggregated view of +4,000 PMax campaigns.

60+
CONVERSIONS

PMax: Conversion Volume vs. ROAS Achievement



PMax campaigns need at least 30 monthly conversions, and ideally 60 or more, for optimal performance

This is reflected in lower volatility and stronger ROAS target adherence

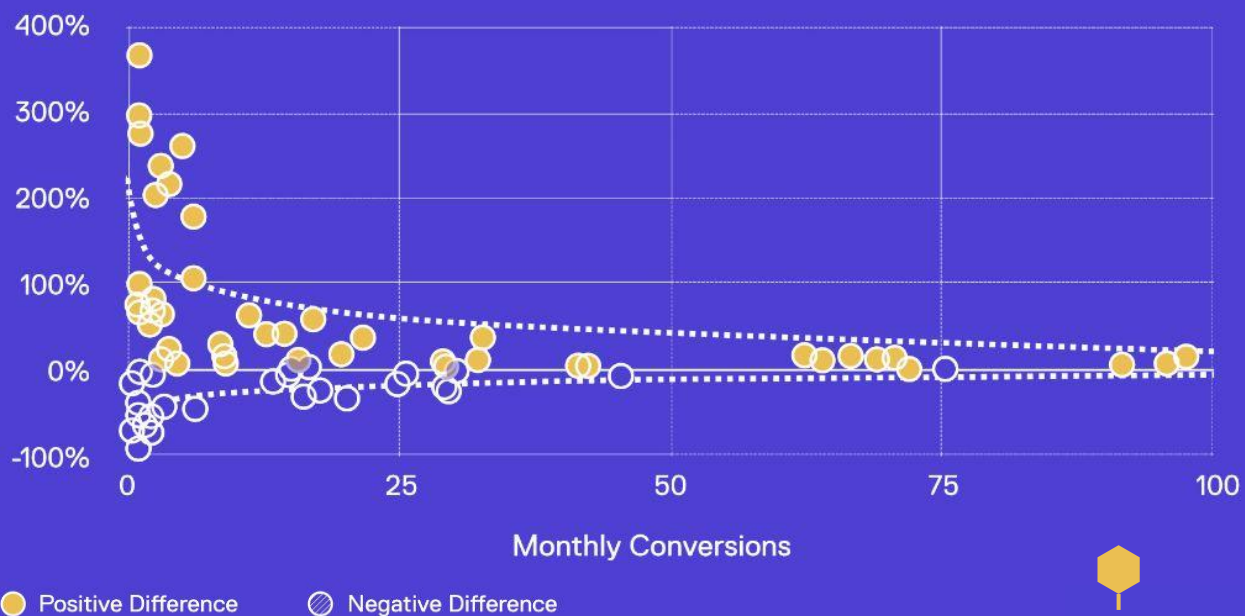
There is no evidence that PMax benefits from cross-campaign learning effects

Addendum:

Avoid excessive segmentation!

Let's look at a real-world problem that arose when a single account was excessively segmented.

% Difference, Actual ROAS vs Target



An advertiser attempted to precisely control ROAS by segmenting a single account according to many margin buckets. This led to an uneven distribution of products and conversion volume

Some campaigns had only 1 or 2 monthly conversions, while others had over 50. The difference between actual ROAS and target ROAS ranged from nearly -100% to nearly 400%.



Lesson learned:

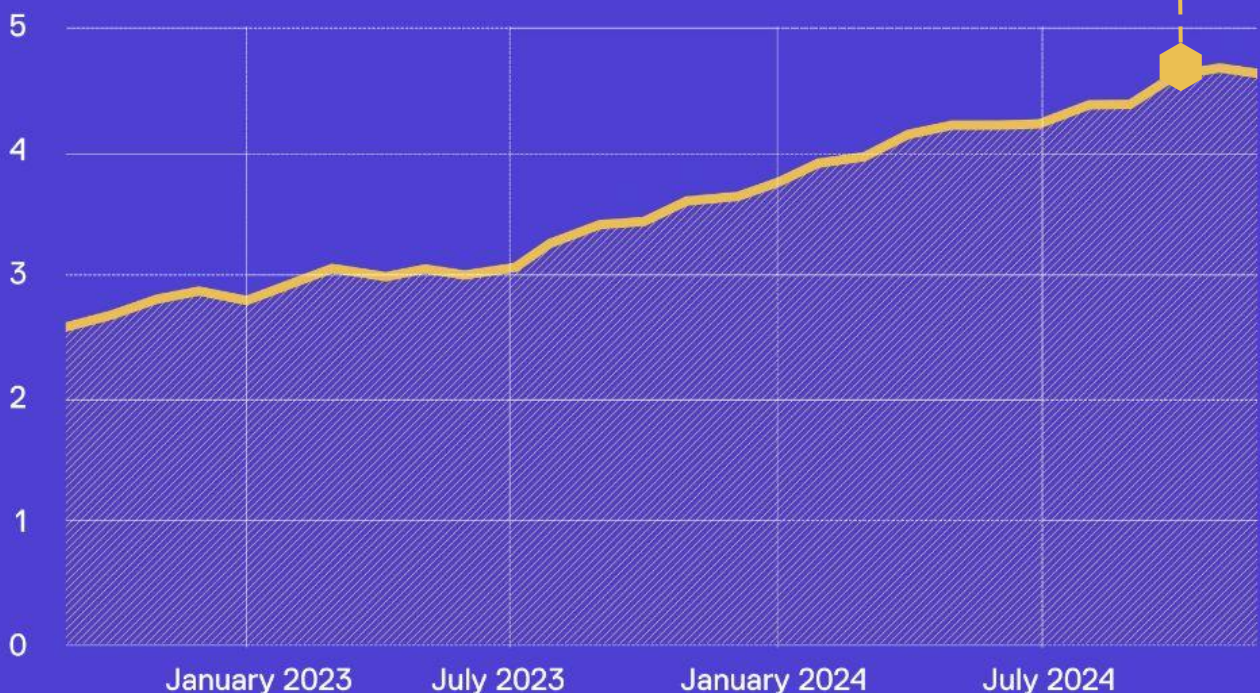
The advertiser's desire to achieve extremely precise targets ironically created a lack of precision in the account.

How many PMax campaigns should you run?

Account structure is a key way of reflecting your strategy toward Google. So let's see how the number of PMax campaigns per account has developed over time.

There is **no "right" number** of campaigns: it depends on your **conversion volume**, the **size and variety** of your product catalog, and your **reasons for segmenting**.

Average Count of Active PMax Campaigns per Account



3 to 7

campaigns

is a typical range, but just 1 PMax campaign per account remains unfortunately common.

How are ecommerce advertisers bidding in PMax?

An interesting trend has become visible: Advertisers strongly prefer to maximize revenue instead of order value.

Max Conv. Val costs 50% more than Max Conv. Which is fine, considering the bigger AOVs.

The Max Conversion bid strategy is suited for new campaigns where the algorithm is signal-thirsty.

Max Conv. Val costs

+50%

more than Max Conversions

Share of PMax campaigns using Max Conversions



Campaign bid strategy type	Median CPC	Median Conv. Rate	Median AOV
Maximize Conversion Value	€0.37	2.22%	€106.55
Maximize Conversions	€0.25	1.98%	€22.84



Personally, I **do not recommend Max Conversions bidding** unless you need more conversion volume to bootstrap your account, or unless your product category has **little variety in price points**.

“Ultimately, I am firmly on team Max Conversion Value”

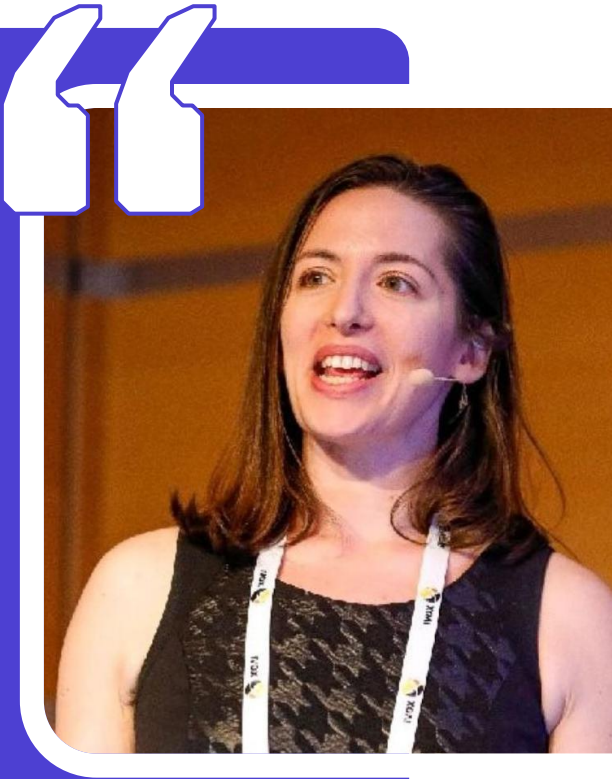
I asked Navah Hopkins, Brand Evangelist at Optmyzr, on the reasons why she'd choose Max Conversion Value for both ecommerce and lead gen.

“Seeing advertisers turning to the volume of Max Conversions over the value of Max Conversion Value seems a **sign of the times** vs a true preference for the bidding strategy.

Based on the numbers, Max Conversion Value drove 19,537 Euros compared to **Max Conversions' 5,116 Euro (medians)**. Additionally, the conversion rate was much better for Max Conversion Value, which I **found surprising**.

All said and done, it **seems a no brainer** to go with Max Conversion Value – especially because Google has outright confirmed conversion value and profit metrics are crucial to help it bid effectively.

Yet brands are **facing uncertain times** and volume they can nurture with email marketing and subscriptions might meet board room KPIs better than raw revenue. There's also **the valid concern** around providing too much info to Google (even if it would help them in the long run)”.

Follow-up: Are higher CPCs a scam?

Like it or not, **CPCs are owned by Google**. And Google's betting on known shoppers. Your move? Maximize value and question what's truly incremental.

Relation of Cost-per-click and value-per-click



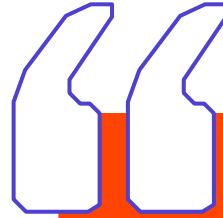
According to the middle 50% of the data above, cost per click and value per click are **highly correlated**.

However: High-value clicks might look great—but unless they drive **net-new growth**, they're not moving the needle.

Since most shoppers are just one-time buyers—stay visible, stay relevant, and earn the next click.

“Incremental revenue growth should be your goal.”

For Caterina Mariani, eCommerce Growth Specialist at PPC Freelance, obsessing over ROAS and conversion value means missing the bigger picture.



"PMax is a unique campaign type that often shows the highest ROAS and conversion value, but there's an **important catch**.

While these metrics **look impressive**, PMax typically targets your warmest customers – people already familiar with your brand. Your main goal is **increasing incremental** revenue (AKA sales that would not have happened otherwise), so don't be misled by pMax's strong performance numbers.

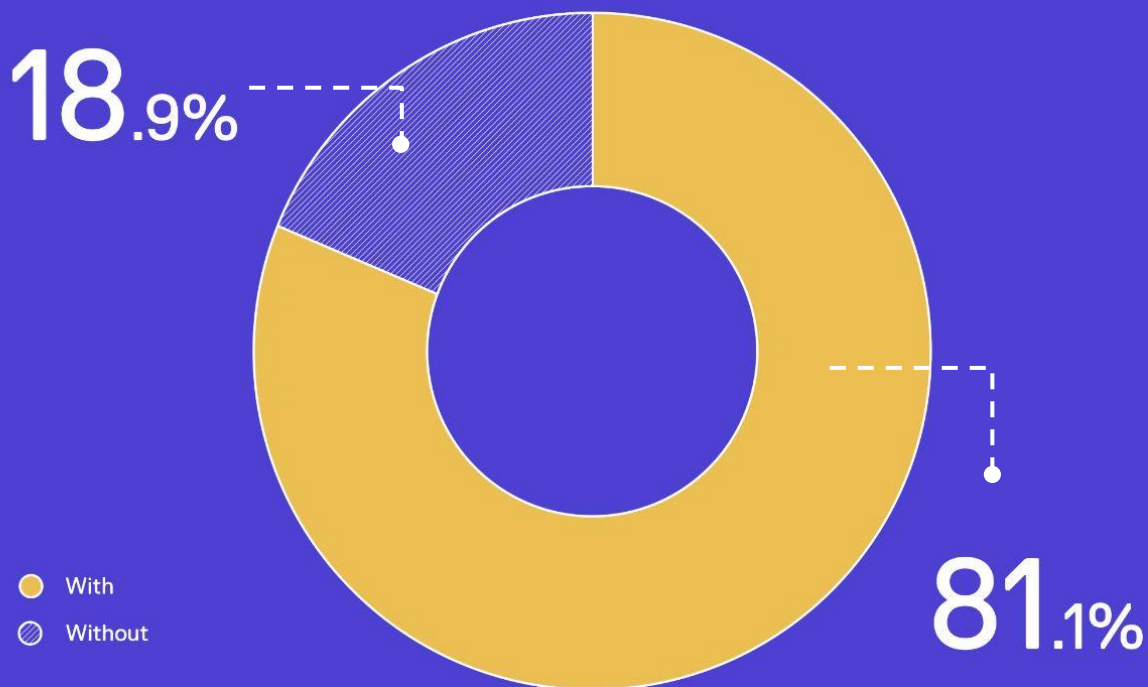
To get the true picture, **always cross-check** pMax data against your overall business metrics: total revenue, profit, customer acquisition cost (CAC), and average order value (AOV), and if you can, **consider third-party** MMM and attribution tools.

This will help you understand if PMax is **actually growing your business** or just claiming credit for sales that would have happened anyway."

Is turning off Target ROAS a recipe for disaster?

Many advertisers are concerned that costs will skyrocket and efficiency will plummet catastrophically. Fortunately, that isn't the case.

Max Conversion Value campaigns with and without a ROAS target



After a Target ROAS, your actual ROAS is **constrained by budget**.

After your budget, your actual ROAS is **constrained by demand**.

After demand, your actual ROAS is **constrained by a hidden failsafe target set by Google**.

What actually happens when you turn off Target ROAS?

What *will* happen are two things: First, you will likely see more volatility in your daily ROAS. Second, abandoning Target ROAS means losing one of your last, best levers.



Most importantly:

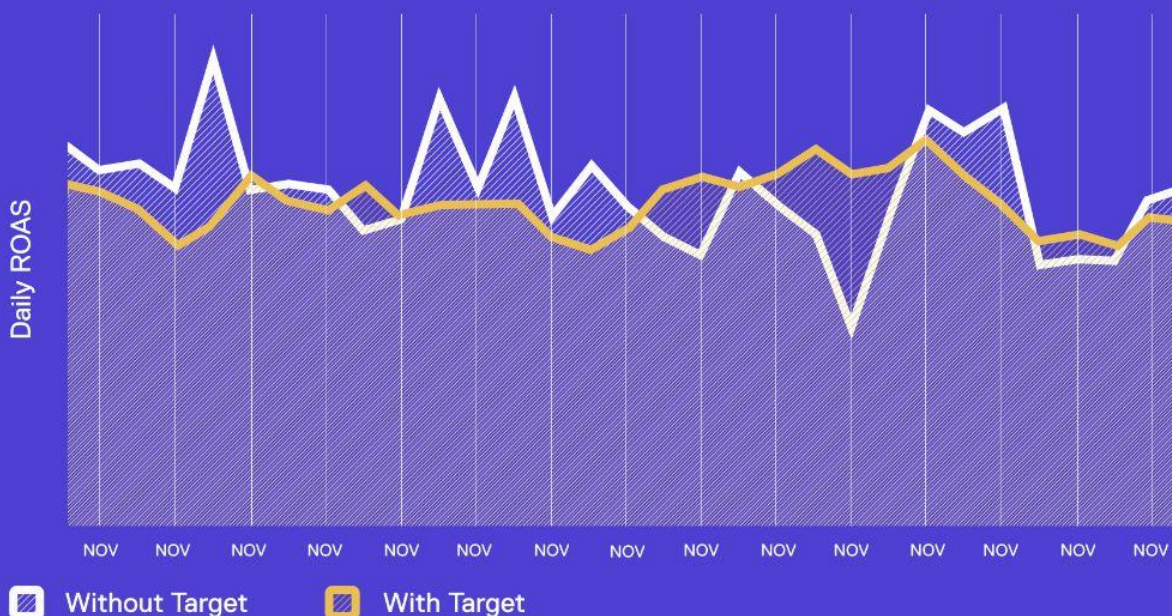
ROAS is one of our **best options** for communicating with Google's algorithm.

At the monthly level, campaigns without ROAS targets do perform worse in terms of efficiency,

However: Campaigns without a ROAS target can still deliver a reasonable baseline of performance.

But: campaigns with a ROAS target behave more predictably, with lower volatility.

Performance comparison with and without ROAS target values



“Google has been listening to its users”

Bob Meijer, Google Ads trainer and coach at PPC mastery shares my cautious enthusiasm for how PMax has changed over the past three years and continues to improve.

“I love that Google has been **listening to its users** and rolled out all sorts of **impactful updates** lately - negatives, brand exclusions, improved reporting, and more - which gives us more control and insights. The current beta features are **looking very promising** as well.

Even though Google has **vastly improved** Performance Max throughout the years, it's **still not** my go-to campaign type for most of my accounts.

I mainly use it in combination with network-specific campaign types (that give me more control, insights, and better results overall), where I use Performance Max as a **"catch-all" layer.**”



“ Final thoughts

I... like... PMax. I like PMax.
There! I said it! It wasn't easy.
And it didn't start that way.

I'm fascinated by exactly how much PMax has changed in **positive ways** – settings, controls, modifiers, and reports – and how little it has changed in **negative ways** – no indication that spammy inventory is rising.

Many people **will tell you I'm wrong**, the next big thing is MMM, incrementality, etc. I've felt this way in the past and I still do **to a certain extent**. However, I'm increasingly of the mind that the market is **too competitive** to get where we might dream.

The **final thing I want to mention** is what I call “**PMaxification**,” and it's the reason why, even if you disagree with me, even if you **hate PMax** and find it rotten to its core – you **can't afford to ignore it**.

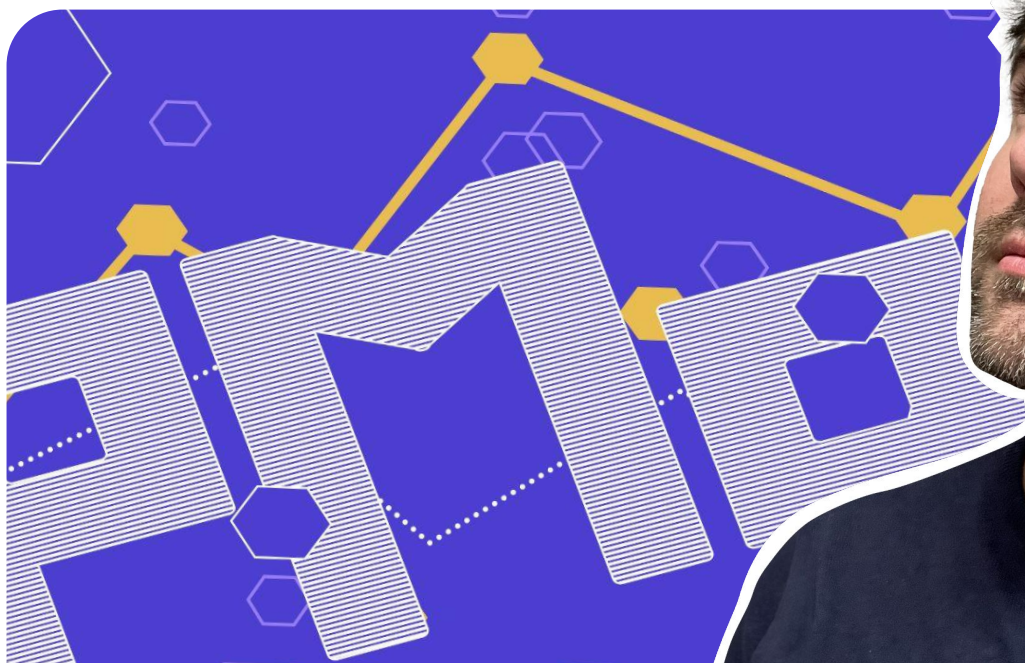
Every digital platform is watching, taking notes, **copying**.

Google pioneered the idea of end-to-end, platform-managed campaigns. In doing so they rolled up channels while **slashing reporting and controls**. They created a **black box money machine**.

Firstly, it's clear this category of technology is the future of digital marketing. Like it or not. I would argue we need to surf the wave, **not fight the tide**. Google Performance Max. Microsoft Performance Max. TikTok Smart Performance. Meta Advantage+. Amazon Performance+. Pinterest Performance+. **And so on**.

Secondly, and more importantly, Google has **changed its trajectory**. They've started cracking open the black box. This should give us hope! **Because remember:**

*Every digital platform is watching, taking notes, **copying**.*



Do you still fear PMax?

smec turns Performance
Max pains into the most
profitable gains!

With 17+ years of experience running
Google Ads for leading online retailers,
our **Performance Max optimization tool**
and the insights of 40 PPC experts help
you run PMax campaigns that actually
move the needle.

What are you waiting for?
You are good to grow!

Let's get in touch

We
don't.

You
won't!